account or trading account. It’s the part of your account where your money sits, ready to be invested.

*Note:* it’s super important to realise that putting money in your online brokerage account doesn’t mean you’ve invested! It just means you’ve put cash into your account, but that cash hasn’t bought any shares.

Once the money is in, it’s time to place your first trade.

## *How much should you invest?*

So, you’ve got $1000 ready to invest. That doesn’t mean you have to invest the full $1000 all at once or in one stock (though you absolutely can if you want to). There are two common approaches when it comes to how and when to invest:

1. **Lump Sum Investing**

   This simply means putting the full amount into the market in one go. Whether you pick that time as you felt it was the right time in the market or it was the right time in your life; you pick the day to do it; you do it and then it’s done.

2. **Dollar-Cost Averaging (DCA)**

   This is where you spread your investment out over several smaller amounts over time (for example, $50 every fortnight or $100 every month). This strategy means you buy in at different prices, sometimes higher, sometimes lower, which can smooth out your entry into the market and reduce the emotional stress of ‘what if I buy at the wrong time?’. Sometimes that auto investment was a ‘good’ time in the market, next it wasn’t so great — the idea is the ups and downs cancel each other out over time. This is like autopilot for your investing.

There’s no right or wrong choice, it’s about what feels comfortable for you. If you’re feeling confident, a lump sum could work. If you’re a little nervous, starting with dollar-cost averaging is perfectly fine. The most important thing is getting started.

If you’re getting started with your first $1000, one simple approach is to invest 50 per cent ($500) as a lump sum to get the ball rolling and then set